

Executive Summary — FY2017 Performance

Overview

TechRetail Corporation closed FY2017 with total revenue of \$2,297,200, representing 6.2% growth over FY2016. Gross margin declined slightly from 13.0% to 12.5%, driven primarily by Furniture discounting. The Technology category delivered the strongest margin performance at 17%, while Furniture lagged at 6.2%.

Regional Performance

West Region: \$725,457 | Best performing, led by California
East Region: \$678,781 | Steady growth, NY Corporate pipeline strong
South Region: \$501,239 | Below target; operational issues in Q4
Central Region: \$391,723 | Highest growth rate (12.2% YoY)

[NOTE: South figures may include \$12,000 adjustment not yet processed]

Product Mix

Technology: 36.4% of revenue — Phones, Accessories, Copiers led growth
Furniture: 32.3% of revenue — Volume healthy but margin eroded
Office Supplies: 31.3% of revenue — Stable, Binders and Paper dominant

PROBLEM AREA: Tables sub-category generated NEGATIVE gross profit (-\$17,725)
Root cause: avg discount 38% vs 15% target + supplier cost increase mid-year

Customer Segments

Consumer: 51.5% of orders (48.3% of revenue) — largest volume segment
Corporate: 30.0% of orders (32.5% of revenue) — highest avg order value
Home Office: 18.5% of orders (19.2% of revenue) — fastest growing segment

Customer retention rate: 68% [BELOW industry benchmark of 72%]
NPS score: 34 (industry avg ~42) — improvement required

2018 Targets (Preliminary)

Revenue target: \$2,500,000
Gross margin target: 14.0%
Retention target: 72%
Key initiatives: Furniture margin recovery, digital investment

[FULL PLAN PENDING BOARD APPROVAL — THIS IS WORKING DRAFT ONLY]

Key Risks

1. Competitive: Amazon Business pricing pressure — HIGH
2. Supplier: Tables supplier contract expired, quality issues — HIGH

- 3. Technology: Import tariff uncertainty — MEDIUM
- 4. Operational: Q4 South region outage recurrence risk — MEDIUM
- 5. EU Expansion: Feasibility only — no commitments — LOW CURRENT RISK

NOTE: This section references risks NOT in Superstore dataset (e.g. EU expansion, supplier compliance). Treat as context only.

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